Absorbing Transition DID Results: Master Plus — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.049		0.025		0.063**
		(0.034)		(0.030)		(0.029)
× Voluntary Rotation		-0.009		0.002		-0.006
		(0.007)		(0.005)		(0.007)
Pooled	-0.005		0.002		-0.001	
	(0.006)		(0.004)		(0.005)	
Mandatory − Voluntary		0.058*		0.023		0.069**
Difference p-value		0.093		0.448		0.021
Observations	42,843	37,655	42,843	37,655	42,843	37,655
Firms	5,304	4,936	5,304	4,936	5,304	4,936
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.002		-0.009		0.025
		(0.020)		(0.020)		(0.017)
× Voluntary Rotation		-0.025*		0.002		-0.026**
		(0.013)		(0.008)		(0.010)
Pooled	-0.020*		0.001		-0.018*	
	(0.012)		(0.008)		(0.009)	
Mandatory − Voluntary		0.023		-0.011		0.051***
Difference p-value		0.336		0.613		0.009
Observations	29,222	27,496	29,222	27,496	29,222	27,496
Firms	3,260	3,225	3,260	3,225	3,260	3,225
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.024		0.004		0.042*
		(0.023)		(0.019)		(0.021)
× Voluntary Rotation		-0.003		0.003		-0.005
		(0.006)		(0.004)		(0.005)
Pooled	0.000		0.001		0.001	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		0.027		0.000		0.047**
Difference p-value		0.257		0.994		0.032
Observations	49,218	43,469	49,218	43,469	49,218	43,469
Firms	5,618	5,318	5,618	5,318	5,618	5,318
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.030		0.011		0.045**
		(0.025)		(0.022)		(0.022)
× Voluntary Rotation		-0.004		0.002		-0.005
		(0.005)		(0.004)		(0.005)
Pooled	-0.001		0.001		0.001	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		0.034		0.009		0.050**
Difference p-value		0.172		0.685		0.030
Observations	50,995	45,117	50,995	45,117	50,995	45,117
Firms	5,618	5,370	5,618	5,370	5,618	5,370
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.